

# FIRSTBANK DIGITAL FACTORY

## Data-Driven Decision & Experiment Design

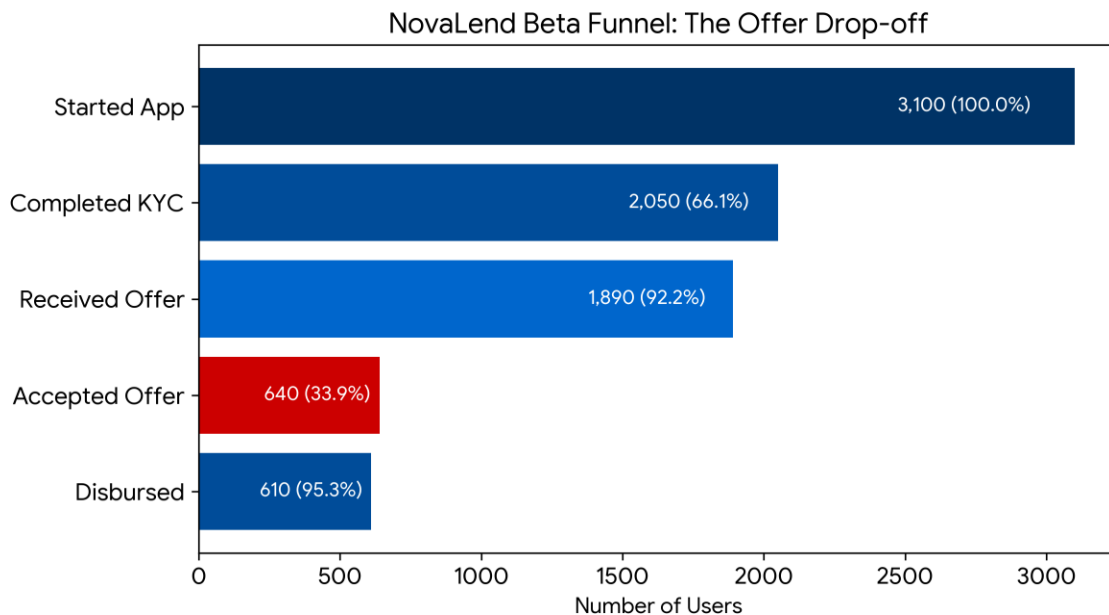
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### 1. Executive Summary

Hypothesis: The primary bottleneck is not onboarding friction; it is an underwriting and offer-structuring crisis that is triggering severe adverse selection. The data proves that we are approving too many users, and our offer terms are driving away good borrowers while capturing bad ones.

### 2. Funnel Visualization

The chart below illustrates the stage-to-stage conversion. The most critical failure point is highlighted in red.



### 3. Deconstructing the Numbers

- Top/Mid Funnel (Onboarding Friction): Of the 3,100 users who started, 2,050 completed KYC (66.1%). While a 33.9% drop-off shows some friction, it is standard for financial identity verification.
- Mid/Bottom Funnel (Underwriting): Of the 2,050 KYC completions, 1,890 received an offer. A 92.2% approval rate indicates our underwriting model is highly permissive.
- Bottom Funnel (The Bottleneck): Of the 1,890 offers, only 640 were accepted. A 33.9%

conversion rate at the final step is catastrophic. A 66.1% abandonment rate after the user has already done the hard work of KYC means the product itself is the friction.

#### **4. Justifying the Root Cause (Adverse Selection)**

When we combine the 33.9% offer acceptance rate with the 14% default rate, the math reveals classic adverse selection: our 92.2% approval rate means we are offering loans to both low-risk and high-risk users. Because we offer flat pricing, low-risk users reject the uncompetitive terms (constituting the 66.1% who abandon the flow). High-risk users accept the flat terms. Consequently, our disbursed portfolio is artificially concentrated with bad borrowers. Verdict: We must restrict access to high-risk users and introduce dynamic terms to win back low-risk users.

#### **5. Lightweight Experiment Design (Painted Door Test)**

To validate our hypothesis that users want flexible loan sizes before committing 3 weeks of engineering time to a real-time pricing engine, we will run a 5-day 'Painted Door' test.

- The Experiment: On the current offer screen, we add a single secondary button below the main Accept CTA: 'Request a different amount'.
- The Experience: If a user taps it, they see a simple modal: 'We are currently testing flexible loan amounts in your region. Join the waitlist to get early access.' We capture the analytics event and their risk tier.
- Success Metric: If >20% of users who view the offer screen tap that button, we have statistically significant proof of demand for bounded flexibility, justifying the full build. If not, we pivot without wasting development time.